Executive Memo

Collections Recovery Performance Review

11% CLAIM	VALIDATED RECOVERY	INVESTMENT
NOT VALIDATED The reconstructed series does not show a sustained +11% MoM improvement.	**₹1.316B** 17,534 validated recovery transactions.	**TARGETING PILOT** Validate incremental recovery before committing the full ₹10 Cr.

1. Executive Decision

The reported statement that "Recovery has improved by 11% month-on-month" is not validated by the independently reconstructed recovery data. Validated recovery fluctuated rather than increasing consistently at 11% each month. Only March 2026 reached the reported threshold at +11.03%. The appropriate management response is therefore to stop treating the 11% figure as a validated trend and use the Golden recovery definition for future reporting.

2. What Happened?

The cleaned portfolio contains 30,000 accounts with ₹10.489B of outstanding exposure and an average DPD of 56.51 days. The Golden recovery population contains 17,534 validated recovery transactions, 13,284 recovered accounts and 7,987 recovered borrowers, producing ₹1.316B of validated recovery.

Month	Validated Recovery	MoM Change
Jan-26	₹187.23M	—
Feb-26	₹170.14M	-9.13%
Mar-26	₹188.91M	+11.03%
Apr-26	₹175.14M	-7.29%
May-26	₹184.25M	+5.20%
Jun-26	₹175.56M	-4.72%
Jul-26	₹187.24M	+6.65%
Aug-26	₹47.11M	-74.84%

Important interpretation: August is materially lower and should be treated as an observed partial-period result rather than a proven operational failure, because only 616 successful recovery transactions are present in the available data.

3. Why?

Evidence class	Finding	Business meaning
FACT	500 duplicate payment rows removed from 25,500 raw payment rows.	Unclean payment data can overstate recovery.
FACT	382 of 25,000 clean payment rows (1.53%) have missing payment_reference.	Reference-based reconciliation is incomplete for these records.
FACT / STRONG EVIDENCE	8,566 borrower IDs repeat; 19,585 excess records.	Borrower-level identity requires further resolution.
FACT / STRONG EVIDENCE	1,000 agent IDs repeat; 29,000 excess rows; 88,241 calls, 28,305 accounts and 15,000 sessions affected.	Person-level agent attribution is unreliable.
FACT	1–30 DPD contains ₹3.834B, about 36.55% of outstanding exposure.	Early delinquency is the largest exposure opportunity by amount.
FACT	31–60 DPD has the highest observed recovery rate at 13.20%.	This bucket combines meaningful exposure with the strongest observed recovery efficiency.
FACT	Risk-segment recovery rates are approximately 12.50%–12.58%.	Risk segment alone does not explain large recovery variation.

4. Confidence

- High confidence: the reported 11% sustained month-on-month improvement is not reproduced by the validated recovery series.
- High confidence: payment duplication and borrower/agent identity issues are present in the source data.
- Moderate confidence: 1–30 DPD represents the largest collection opportunity by outstanding amount.
- Lower confidence: the exact causal reason for monthly volatility or the effect of a specific channel, vendor, campaign or targeting change has not been established.

5. ₹10 Cr Investment Recommendation

Recommended area: Better borrower targeting — controlled pilot first.

The current evidence does not isolate a defensible causal uplift or ROI for any of the six investment options. A controlled targeting experiment is therefore recommended before committing the full ₹10 Cr.

- Treatment group: comparable eligible accounts exposed to the proposed targeting strategy.
- Control group: comparable accounts retained under the existing targeting approach.
- Matching/stratification: DPD, risk segment, outstanding amount, loan type and other pre-treatment characteristics available in the data.
- Primary outcome: incremental validated recovery, with secondary outcomes of recovery per targeted account and cost per ₹ recovered.
- Decision gate: scale only if the treatment produces positive incremental recovery with an acceptable confidence range.

Investment metric	Evidence-based position
Investment ceiling	₹10 Cr
Expected incremental recovery	Not reliably estimable before experiment
Expected ROI	Not reliably estimable before experiment
Break-even point	Not reliably estimable before experiment
Downside scenario	Zero or negative incremental uplift
Confidence	Moderate for pilot design; low for untested financial uplift

This recommendation deliberately avoids fabricating an incremental recovery or ROI estimate. The assignment permits an experiment-based recommendation when the current data is insufficient for a reliable financial estimate.

6. Final Management Actions

1. Replace the reported 11% MoM KPI with independently validated recovery metrics.
2. Use the Golden recovery layer as the reporting source of truth.
3. Prioritize analysis and testing around the large 1–30 DPD exposure.
4. Resolve borrower, agent and call-event identity issues before relying on person-level operational attribution.
5. Run a controlled targeting experiment before committing the full ₹10 Cr investment.

Final decision: **Do not approve a full ₹10 Cr deployment based on the reported 11% recovery-improvement claim. Validate incremental recovery through a controlled borrower-targeting experiment first.**